



IPV Investor FAQs

1. What is Inflection Point Ventures? What is its purpose?

Inflection Point Ventures is an Angel Investors Group started by a group of CXOs. Given the interest expressed by CXOs in wanting to engage and encourage new age entrepreneurs, we decided to provide a customized platform to do just that and more. A group of very active and enthusiastic CXOs decided to come together and thus came into being, **Inflection Point Ventures (IPV)**. This sub-group also forms the core team which carries out initial assessment of recommended startups.

IPV is an independent forum with 7000+ CXOs & HNIs, created with the purpose of providing an opportunity to create wealth for its members. This platform aims to leverage and apply the distributed knowledge of the members, in a collective manner, to a given investment opportunity. Since there is no need of intermediaries in deal sourcing, evaluating and investing in startups, we expect to reduce the cost, time and effort significantly. It also allows a new investor to start with a small investment, while still making a meaningful value proposition for the startup with combined funding from various members.

2. What is unique about IPV and therefore how is this going to be different from other investing forums?

As a further elaboration of point number 1, the USP and related advantages are laid out below:

- a. **Diverse network** of 7000+ distinguished CXOs, HNIs & senior professionals, spanning across various **geographies, industries and areas of expertise**, that are available real time to evaluate any given startup (e.g. Due diligence, Funding, Business Knowledge, Mentoring and solving various other problems)
- b. **Low cost** to be a part of the network, given distributed nature, which would be almost half of any other significant angel group
- c. **Higher chances of success**, as the evaluation is done by experts in the fields of business, investing as well as functional areas
- d. Ability to start **investing with smaller sums** as the funding is pooled by the group, still making it meaningful for a given startup
- e. Ability to **help the startup grow** and take them to the next level by providing them additional **access to customers, guidance and mentorship** along with funding
- f. Ability to refer startups that are already known to this forums' members, and giving them an opportunity to do a **proprietary deal**

3. Are there any charges for the membership or is it free?

The idea is to keep the costs as low as possible, while still making the initiative sustainable. Being a professional group, meant for investors who can identify "Value in any given initiative/startup", the costs would need to be shared among the members as annual membership fee. The fee would include the cost of the analyst, support staff, IT platform/infrastructure as required, hiring consultants etc. and also cover for admin expenses (e.g. meeting expenses).

Currently, the **Annual Membership Fee** is Rs.21,000 + 18% GST (Rs.24,780). **Investment Documentation Fee** is 2% of the amount invested in any IPV startup and **Investment Exit Documentation Fee** is 2 % of the total sales value in any IPV start-up. For direct investments via the IPV platform there is no carry fees on Exits. For investments under specified class(es) via the AIF (First Port Capital), carry fees on Exits would be applicable per the relevant class(es)App

4. How do I evaluate if I should join the forum or not? Is the forum meaningful for me?

As an extension to point number 1, you could evaluate being a part of this forum if you are serious about one or more of the following objectives:

- a. **Want to learn** from peers about how to evaluate startups and investing in general
- b. **Want to create wealth** through investing in startups
- c. **Want to teach and share** your knowledge, expertise and experience related to investments with other members of the forum
- d. Want to **test your entrepreneurial skills** while **mentoring and guiding** startups in various aspects like solving challenges, scaling up etc.
- e. Want to **evaluate a startup as an innovative solution provider** either for your business or the investors personally

5. How does one become the member of the forum?

By filling out the IPV membership form online - <https://forms.gle/RmddM4udzS5Rxgf9>

The membership to IPV as an investor is subject to ground rules of this forum. The member should fill the complete profile in the form link above (Example: Contact details, PAN Card, Aadhar Card details etc.). However, the IPV management reserves the right to allow any member to join, continue with or terminate their membership if the member violates the rules of the forum, including but not limited to, conflict of interest, violation of terms & conditions of membership or behavior not consistent with the ethos of a professional network.

6. What privileges / services should I expect as a paid member of IPV?

IPV provides the following benefits to its members:

1. Access to startup pitches and webinars
2. Access to evaluation reports prepared by IPV's in-house analyst team
3. Access to investing in the startups
4. Quarterly update call/status note from invested startups (one common call with founders for all the members of IPV)
5. Membership Rewards Program - Members can earn points for investing, referring new members, helping startups, providing mentorship time etc. The points can also be redeemed to pay for the annual subscription charges. Details regarding membership rewards program are mentioned in the membership note. For CXO Genie members, you can use your CXO Genie points for 'IPV membership' related costs as well

7. When and where does the group meet?

Given the scope of the activities and keeping in mind the wide geographical spread of our members, we meet virtually via our Startup Saturday Webinars and Wonder Wednesday every week. This would help in saving travel time as well as enable participation of members across various geographies. However, to enable networking and to know other members personally, IPV organizes regular meetings as well.

8. What are the Do's and Don'ts on the platform?

Do's:

1. Members enjoy the freedom to initiate & drive discussion
2. Post related to Startups, investments and learnings
3. Discussion related to startups
4. We encourage members to congratulate or welcome members on a 1:1 basis only
5. Members may choose to invest or have B2B deals or both with the start up
6. The ultimate investment decision lies solely on the investing members' discretion
7. The onus of managing 'conflict of interest' lies with the member and not Inflection Point Ventures

Don'ts:

1. We do not encourage using the forum for marketing or commercial purposes
2. We strongly recommend not to seek confidential company information or share it on the forum. Other members/admins do not take onus of non-disclosure of the same
3. It is prohibited to share Forwards, Jokes, wishing on Birthdays, Anniversaries, Festivals, National Holiday and putting political opinions, etc. In case a member feels strongly about sharing any forward, the member must donate 200 points for each such share
4. Discussions should be kept confidential and not to be shared in public or otherwise outside the forum
5. 'Inflection Point Ventures' does not proclaim or guarantee any returns, it is a collective effort with no recourse to any member/forum
6. IPV is not liable to make good a loss, in investment made

9. Can I take a Trial Membership to test and experience the platform?

Yes, you can avail the trial membership and the details are given below:

1. You will have access to webinars (held on weekly basis)
2. You will be added to a separate trial members group and not the investors group (paid members group)
3. Prior to making an investment in a startup, the trial members will be asked to pay the membership fees to become a paid member. Also, any member who is due for renewing his membership in the next 1 month has to pay before investing in any startup.
4. The trial membership period will last for 30 days, and in case you want to continue you need to pay or you will be rotated out of the forum

10. How do I refer new members to the forum?

In case anyone wants to join IPV, she/he needs to fill up the membership form - <https://forms.gle/RmddM4udzS5Rxgf9> and mention the name of the referrer.

11. Which asset classes are included in the scope of the initiative, and what are the exclusions if any?

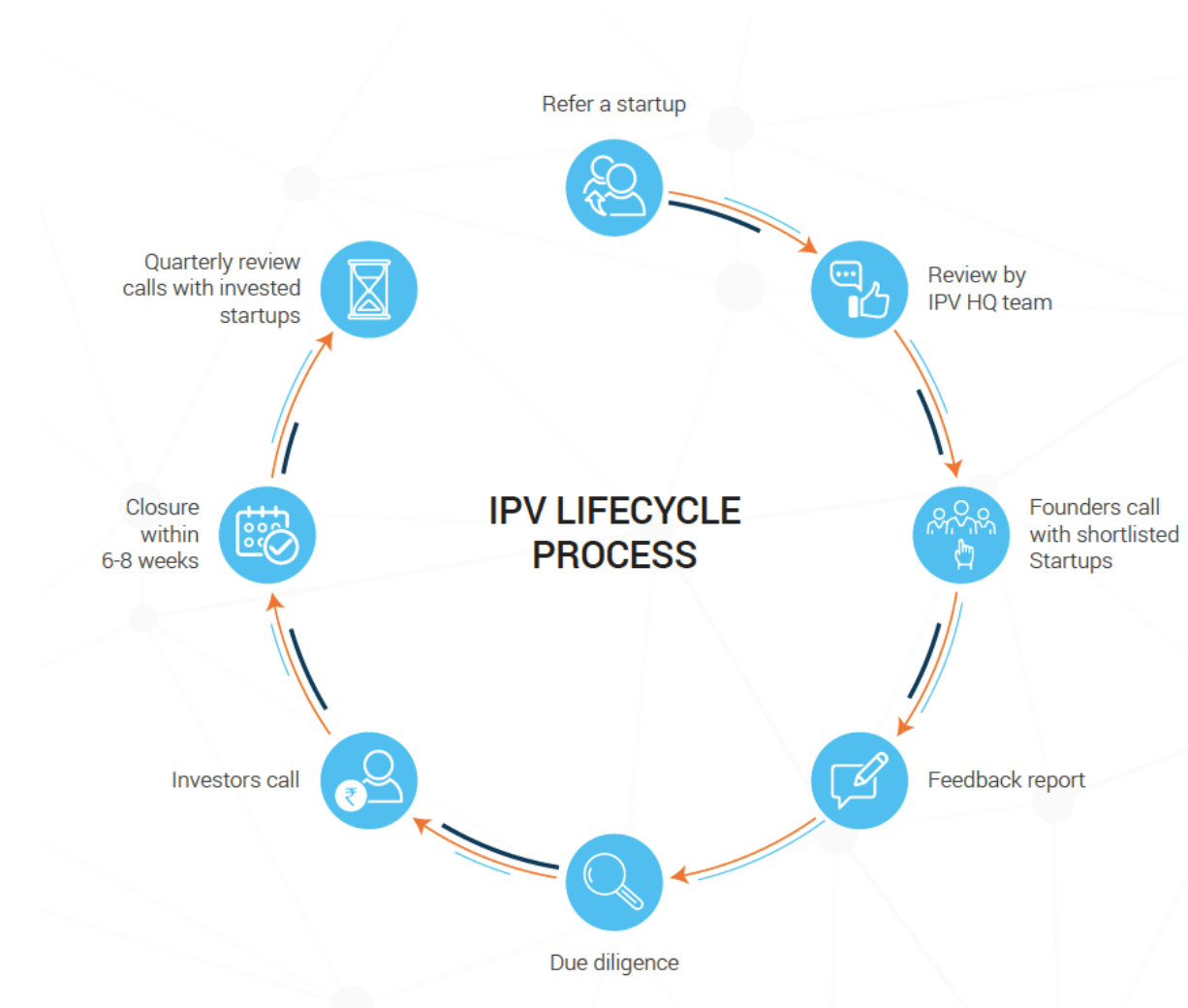
Given the nature of the forum membership (CFOs, CHROs, CEOs etc.), the starting focus would be limited to investment in startups, while listed stocks would remain outside the purview of this group. This is also keeping in mind that many of the members themselves hold senior positions in listed companies. However, other asset classes can be added over time as required – Debt, Real estate and others.

12. What is the structure of transaction in an investment made by an IPV Investor?

We would like to keep the process simple for everyone and therefore any member can invest directly as an individual. The transaction, terms and conditions would be directly between the member and the startup (with guidance from the core leadership team of IPV), example: Standard Term sheet, Valuation, Evaluation Sheets etc.

13. What is the broad overview of the whole process to be followed under the initiative?

This is outlined in the below chart.



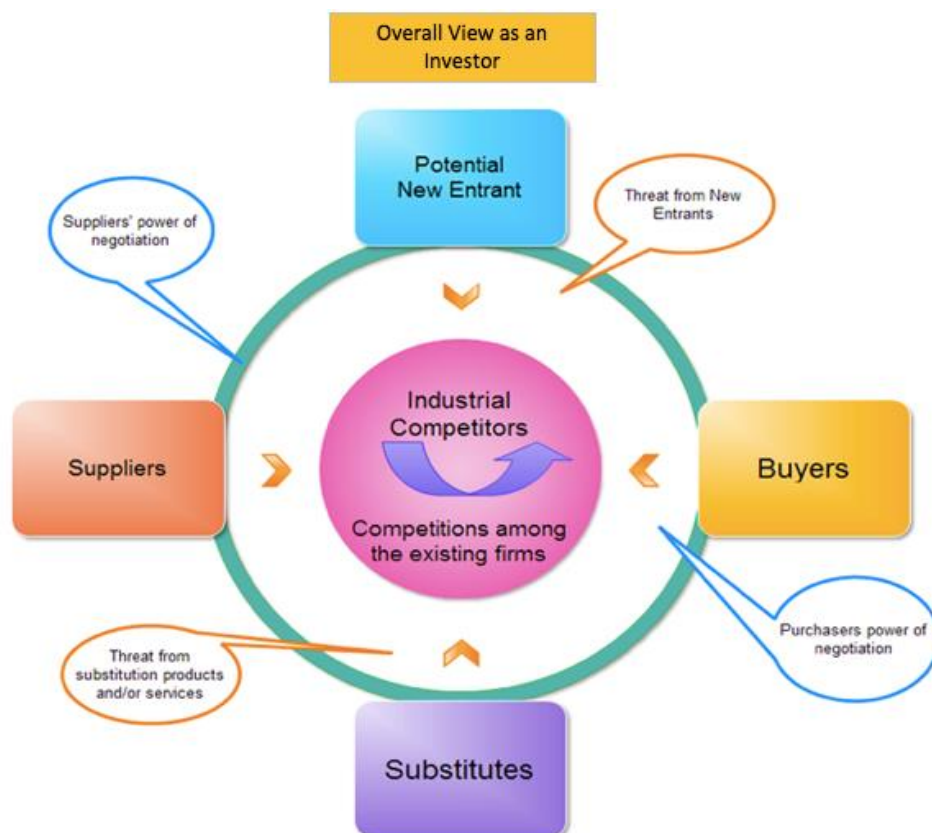
14. How are startups referred to the forum? Can I refer startups I have invested in earlier or if I know the founders?

Any IPV Investor can refer a startup, provided they know the founders personally. Members can refer a startup at: ipventures.in/contact-us/startup/

The founders and the startup will then be reviewed by the core committee which will evaluate the given startup on a defined set of evaluation criteria. IPV is industry agnostic and believes in equal opportunity.

15. What are the criteria for the startup to be shortlisted for pitching their business?

When a startup is referred to IPV, a first level evaluation is done by the in-house analysts, basis which a scorecard is released to the IPV core team. Basis the scorecard, the core team evaluates the viability of the business/investment and a voting process is conducted amongst them. If it passes the voting, the startup is then invited to pitch to the IPV members.



16. I want to refer a startup to this forum. How should I position IPV to the founders for them to raise their funding from this forum?

IPV offers multiple unique benefits to startups and the below can be your pitch to them (you can also request funding@ipventures.in for a detailed note that has been prepared, to be sent to the startup):

- Ability to raise **funding from a set of mature and seasoned investors** with diverse professional experience in handling businesses
- Opportunity to **get advice and mentorship from experts** in an area they need help in. (e.g. Scaling up, Legal advice, Advice on business operational issues, HR matters, Talent acquisition etc.)
- Help in early identification and **solutioning for potential roadblocks and risks**. Opportunity to get best practices from the industry
- Opportunity to get CXOs as their **retail customers** and make them their ambassadors
- Opportunity to get **corporate/B2B customers** as the forum represents various CXOs of businesses across industries

17. What are the obligations to invest for the IPV investors? What is the minimum investment ticket size?

While IPV presents its Due Diligence findings during the Investors' call, the discretion of the investment decision lies with the investor, hence there is no obligation to invest in a particular startup from IPV's side. However, the activity of the members throughout the year is used to determine the movements in the membership slabs (Bronze, Silver, Gold) as all members start with Bronze membership.

In most cases, the minimum investment ticket size is Rs. 2.5 lacs per investor per startup with no maximum limit. However, there is no minimum limit of investment that an investor has to make during a particular year.

18. What operating rhythm should one expect? What activities would be covered in the initiative?

IPV has started what is called as “**Startup Saturdays**” and “**Wonder Wednesday**” wherein we have a *founders' call* every Saturday from 11 am to 12 pm and on Wednesday 6:30 to 7:30pm, wherein the founding team of curated startups pitch their business idea to the investors.

If the startups gather enough interest, we also have a follow up call known as *investors' call*, typically from 10 am to 10:45 am every Saturday and 6:30 to 7:30 on Wednesdays, where the IPV core team supported by IPV analysts and SMEs conduct detailed due diligence and its findings are presented in the form of business summary, scorecard and valuation report.

This frequency can be increased as required. The topics covered in these calls are:

- Founders' call: Presentations by startup founders. (a business model pitch followed by Q&A session)
- Investors' call: Due diligence findings along with investment and valuation report is presented by IPV team
- Learning sessions with experts
- Discussions/Huddle calls on various topics/brainstorming

19. How do I get access to startup pitches and documents?

Startup pitch documents, IPV due diligence documents and Startup Saturday webinar recordings are available to IPV investor members through the IPV app as well as on request through the IPV Whatsapp BOT (+91 93190 85247).

20. Are there certain principles of investing that this forum expects to follow?

Given that startup investing is a high-risk activity, it is important that the investments are done in a very defined manner to be able to weed out the high-risk candidates. This is proposed to be achieved by using a defined set

of principles of investing. This set of principles is being developed upon wealth of literature published (refer the question on various items of literature) as well as leaning on the experience of the steering committee (that would comprise of investment professionals selected both internally and externally). This set of principles would be incorporated into the evaluation sheets (scorecard & valuation summary) published by the IPV analysts to investors.

21. How do we negotiate on the valuation of the startup?

Core committee along with the referring member (or Lead Member) leads the discussion basis feedback after the webinar. Please note that the valuation agreed upon will be the same for all investing members.

22. What are my rights as an investor?

As an individual investor, you will have the right to be able to sell or buy shares as per your own discretion, at any given point in time. You will have access to quarterly business review calls of the startups you have invested in. You will be informed of exit opportunities as and when they arise to help you make a decision.

23. What will be the proof of investment that I'll make?

You'll get a copy of your share certificate over your email as well as this will be uploaded on IPV App (you can view it under portfolio section).

Because of issues faced in the past by investors & IPV like share certificates being lost in transit, calling back of share certificate for rectifications, delay in exits etc. the physical share certificates we keep at IPV's possession (taking all necessary precautions).

Kindly refer to the short video & document capturing issues faced & current process below:

<https://www.dropbox.com/s/2hutld1le6xxpc0/?dl=0>

PDF Link: <https://www.dropbox.com/s/1j0y4xx1v4u35v5/?dl=0>

As a result, our default process is keeping the share certificates with IPV, but in case you wish to receive the hard copies of the same for any startup investment you make, please feel free to reach out to your relationship managers 1:1

24. When is a Startup's Quarterly update or Performance Review call organized?

A performance review call with all portfolio startups is organized 3-4 times every year. These calls are open to all the IPV investors in the startup. With increasing no of portfolio companies and given the ongoing pitches & masterclass sessions over weekend, the performance review calls are now being organized on weekday evening slots. This ensures that we are having the update calls at regular periodic intervals. Those investors who can't attend, can share their questions in advance to the lead member or analyst. The recordings of the same are also shared with the investors.

25. Can we still invest in the startups not taken forward by IPV?

If you are opting to be an individual investor (must have filled the feedback form on the given startup), IPV will connect you to the lead Investor who will co-ordinate information from the founders directly. However, at no point will IPV be held responsible for confidentiality of such information or the custodian of the same. As IPV has not taken the startup forward, it will not be responsible or accountable for managing the investment process.

26. I am new to investing. Are there certain books that I should read to get myself up to speed?

Yes, we strongly advise that one gets to understand the basic tenets and principles of Investing. The following books are highly recommended for anyone wanting to learn investing concepts and evaluating startups.

- **Zero to One: Notes on Startups, or How to Build the Future** by Peter Thiel (founder of PayPal)
- **Hot Seat: The Startup CEO Guidebook** by Dan Shapiro
- **Buffett Beyond Value** by Prem Jain
- **The Intelligent Investor** by Benjamin Graham
- **The Little Book of Common Sense Investing** by John C. Bogle
- **The Outsiders** by William Thorndike
- **Common Stocks and Uncommon Profits** by Philip A. Fisher
- **The Millionaire Next Door** by Thomas J
- **The Snowball** by Alice Schroeder
- **Stay Hungry, Stay Foolish** by Rashmi Bansal
- **The Lean Startup** by Eric Ries
- **Think and Grow Rich** by Napoleon Hill
- **The Startup Playbook: Secrets of the Fastest-Growing Startups** by David Kidder
- **The Millionaire Next Door** by Thomas J. Stanley
- **Rich Dad Poor Dad** by Robert Kiyosaki & Sharon Lechter

Members can refer other good books too, and we can add them here

27. I'd like to know more about IPV, where can I get the details?

For information on IPV, please share your details via <https://ipventures.in/contact/#investor-contact>